

Now I have all the data needed. Let me compile the comprehensive Market Analysis.

Here is the full **Market Analysis: Saudi Residential Rental Housing (Riyadh, Jeddah, Dammam, Al-Khobar)**, synthesizing both the 2021 AQAR dataset and the Quick Research report (2025–2026).

1. Competitive Landscape Summary

Market structure. The Saudi residential rental market is undergoing a structural shift from fragmented, individual-landlord dominance toward early-stage institutionalization. The built-to-rent (BTR) sector was valued at only ~\$0.33 billion in 2025, projected to grow at 16.24% CAGR to ~\$0.87 billion by 2031 — signaling the market is still nascent. **[EXTERNAL RESEARCH — Mordor Intelligence, 2025]** [1][2]

Key institutional players:

- **ROSHN Group** (PIF subsidiary): Dominant institutional developer; flagship Sedra project in Riyadh targets 30,000 units across 20M m². Partners include Retal, Ajdan, and Dar Al Arkan. **[EXTERNAL RESEARCH — PIF/ROSHN, 2025]** [1][2]
- **Dar Al Arkan:** Largest listed developer by market value (Shams Ar Riyadh, 5M m²). **[EXTERNAL RESEARCH]** [2]
- **National Housing Company (NHC):** Government-backed, operating Al Fursan and other communities. **[EXTERNAL RESEARCH]** [2]
- **REITs:** ~17+ listed on Tadawul, but most remain weighted toward commercial/retail, not pure residential rental. **[EXTERNAL RESEARCH — Argam/Tadawul, 2025]** [1]

City-level competitive intensity:

City	Institutional Competition	Foreign Ownership Rules	Dataset Listing Count (2021)
Riyadh	Very High — PIF-backed developers dominate	170 designated zones	960
Jeddah	Moderate — rising but less concentrated	170 designated zones	888
Dammam	Low-Moderate — fragmented landscape	Unrestricted (no zone limits)	894

City	Institutional Competition	Foreign Ownership Rules	Dataset Listing Count (2021)
Al-Khobar	Low-Moderate — fragmented landscape	Unrestricted (no zone limits)	976

[**DATASET**] for listing counts ; [**EXTERNAL RESEARCH — JLL, CBRE, K&S Law**] for competition and ownership rules [1][2][5]

2. Key Trends and Signals

Trend 1: Riyadh rent freeze fundamentally alters the investment calculus

A **five-year rent freeze** was imposed on Riyadh in September 2025, prohibiting any residential or commercial rent increases within Riyadh's urban boundaries through ~2030. Violations carry fines of up to 12 months' rent. [**EXTERNAL RESEARCH — REGA/Economy Middle East, Sep 2025**] [1]

- Pre-freeze, Riyadh posted the strongest growth: apartments +10.3% YoY, villas +14.4% YoY in H1 2025 (Cavendish Maxwell). [**EXTERNAL RESEARCH**] [1]
- Post-freeze, Q1 2026 quarterly rents declined -2.8% (apartments) and -1.2% (villas), though YoY figures remained positive at ~6% and ~5%. [**EXTERNAL RESEARCH — Gulf News/Cavendish Maxwell, Q1 2026**] [1]

Trend 2: Dammam/Al-Khobar emerging as the steadiest performers

- Q1 2026 YoY growth: Dammam apartments +3.2%, villas +2.1% — balanced and consistent. [**EXTERNAL RESEARCH — Gulf News, Q1 2026**] [1]
- The 2021 dataset already showed Dammam as the most affordable market (median SAR 60,000) and Al-Khobar in the mid-range (SAR 75,000), with the largest median unit size (348 m² in Al-Khobar). [**DATASET — 2021**] [8]

Trend 3: Ownership-to-rental rotation accelerating nationwide

- Ejari contract values surged **85% in Q1 2026**, indicating a powerful shift from buying to renting as sales prices cooled. [**EXTERNAL RESEARCH — CBRE Q1 2026 Review**] [1]
- Nationwide residential transaction values contracted **26.9% YoY** in Q2 2026 to SAR 37.67 billion. [**EXTERNAL RESEARCH — CBRE Q2 2026**] [2]

Trend 4: Massive supply pipeline — unevenly distributed

Region	Planned Units by 2030	Share of Total
Western KSA (Jeddah/NEOM)	382,500	44.8%
Riyadh	340,000	39.8%
Eastern Province & Other	132,300	15.5%
Total	854,800	100%

[EXTERNAL RESEARCH — Fast Company ME / JLL, 2025].[1][2] The Eastern Province receives the smallest supply allocation, which reduces oversupply risk for Dammam/Al-Khobar investors.

Trend 5: Regulatory modernization opening the market

- **Foreign Ownership Law** (effective Jan 22, 2026): Non-Saudis can own in 170 zones in Riyadh/Jeddah; **unrestricted** in Dammam/Al-Khobar. **[EXTERNAL RESEARCH — REGA/JLL, Jan 2026]** [1][2]
- **Ejar digital mandate** (Jan 2024): All residential rent payments must go through digital channels, creating unprecedented transparency. **[EXTERNAL RESEARCH — REGA, 2024]** [1][2]
- **White Land Tax overhaul** (May 2025): Tiered rates up to 10% on undeveloped land, incentivizing development. **[EXTERNAL RESEARCH — K&S Law, 2025]** [1][2]

3. Opportunities and Risks

Opportunities

1. **Early-mover advantage in Dammam/Al-Khobar BTR** — Low institutional competition, unrestricted foreign ownership, steady 2–3% rent growth, and the smallest supply pipeline create a favorable entry window for mid-scale investors. **[EXTERNAL RESEARCH].**[1] The 2021 dataset confirms the lowest median rents (SAR 60K–75K), meaning lower capital requirements. **[DATASET]** [6]
2. **Jeddah's giga-project employment multiplier** — \$431.3 billion in western giga-projects (NEOM, Red Sea Global, Jeddah Central, Qiddiya Coast) will drive long-term housing demand. **[EXTERNAL RESEARCH — Fast Company ME, 2025].**[1]

Jeddah already commands the highest median rents (SAR 95K) and the richest amenity profile (39% pool, 17% furnished). **[DATASET — 2021]** [7][11]

- 3. **Ownership-to-rental rotation** — The 85% surge in Ejari contract values and 26.9% decline in transaction values signal a structural demand shift toward renting, expanding the addressable tenant pool nationwide. **[EXTERNAL RESEARCH — CBRE, 2026]** [1][2]
- 4. **Furnished/premium gap in Al-Khobar** — Only 1.5% of 2021 Al-Khobar listings were furnished vs. 21.8% in Dammam and 17.1% in Jeddah, suggesting an underserved niche for furnished rental product. **[DATASET — 2021]** [10]

Risks

- 1. **Riyadh rent freeze extension** — The freeze may extend to other cities pending Council of Economic and Development Affairs approval. **[EXTERNAL RESEARCH — Economy Middle East, 2025]**. [2] This is the single largest regulatory risk for any Saudi rental investment.
- 2. **Jeddah absorption risk** — 382,500 planned units in western KSA represent the largest regional pipeline; if absorption slows, rents could soften. JLL notes developers are strategically phasing delivery to mitigate this. **[EXTERNAL RESEARCH — JLL, 2025]** [1][2]
- 3. **Dataset staleness** — The 2021 AQAR dataset predates all major regulatory changes (rent freeze, foreign ownership law, Ejari mandate, White Land Tax overhaul). Current rent levels and market dynamics may differ materially. **[DATASET limitation]**
- 4. **Source conflict on Riyadh villa growth** — Cavendish Maxwell reported +14.4% YoY in H1 2025, while CBRE reported +11.6% YoY in Q3 2025 — a ~3 percentage-point gap likely reflecting different measurement periods. By Q2 2026, CBRE reported national villa values declining 9.7%, while Cavendish Maxwell showed Riyadh villas still up ~7% YoY. **[EXTERNAL RESEARCH — flagged conflict]** [1][2]

4. Supporting Evidence: Dataset vs. Research Comparison

Metric	Source	Riyadh	Jeddah	Dammam	Al-Khobar
Median Annual Rent (SAR)	DATASET (2021)	80,000	95,000	60,000	75,000

Metric	Source	Riyadh	Jeddah	Dammam	Al-Khobar
Rent levels cited in research	EXTERNAL RESEARCH (2025-26)	~SAR 80K–95K referenced as 2021 baseline	~SAR 95K referenced as 2021 baseline	Not separately quoted	Not separately quoted
Listing Count	DATASET (2021)	960	888	894	976
Median Size (m ²)	DATASET (2021)	323.5	312.0	300.0	348.0
Median Bedrooms	DATASET (2021)	5	5	5	5
YoY Rent Growth (Q1 2026)	EXTERNAL RESEARCH	~5–6%	~1–2.7%	2.1–3.2%	Similar to Dammam
Rent Freeze	EXTERNAL RESEARCH	Yes (5 years)	No	No	No
Institutional Competition	EXTERNAL RESEARCH	Very High	Moderate	Low-Moderate	Low-Moderate
Foreign Ownership	EXTERNAL RESEARCH	170 zones	170 zones	Unrestricted	Unrestricted
% Furnished	DATASET (2021)	10.1%	17.1%	21.8%	1.5%
% Pool	DATASET (2021)	9.8%	39.3%	5.8%	11.2%

for DATASET columns; for EXTERNAL RESEARCH columns.[1][2]

5. Agreement and Conflict Assessment

Where sources AGREE

- **City rent ranking is consistent:** Both the 2021 dataset and the research report confirm the same hierarchy — Jeddah highest, then Riyadh, Al-Khobar, Dammam

lowest. The research explicitly references the dataset's figures (SAR 95K / 80K / 75K / 60K) as the 2021 baseline.[1][3]

- **Uniform property profile:** The dataset shows all four cities dominated by large 5-bed/5-bath villa-style units (~300–348 m²), consistent with the research's focus on villa and apartment segments.[9]
- **Dammam/Al-Khobar as underserved:** Both sources point to lower competition and pricing in the Eastern Province.[1][4]

Where sources **DISAGREE** or **CANNOT BE COMPARED** ⚠

- **Current rent levels:** The dataset reflects 2021 asking rents only. The research reports significant growth since then (e.g., Riyadh apartments +10.3% in H1 2025 alone), meaning actual 2025–2026 rents are materially higher than dataset figures. **No direct comparison is possible.**
- **Riyadh villa growth conflict within external sources:** Cavendish Maxwell (+14.4% H1 2025) vs. CBRE (+11.6% Q3 2025) — ~3 pp gap.[2]
- **National vs. city-level villa values:** CBRE reports national villa values –9.7% in Q2 2026, while Cavendish Maxwell shows Riyadh villas still positive. The divergence suggests Riyadh outperforms the national average.[2]
- **AC penetration data quality:** The dataset shows only 51–64% of listings flagging AC, which is implausible given Saudi Arabia's climate. This is likely a listing-quality issue, not a real market signal. **[DATASET caveat]** [12]

What **CANNOT** be concluded 🚫

- **Investment yield or ROI:** The dataset contains rents only, not purchase prices. No yield calculations are possible from these data alone.
- **Current absolute rent levels:** The 2021 dataset cannot tell us what rents are today; only the external research provides directional growth rates.
- **Al-Khobar-specific growth rates:** The research generally groups Al-Khobar with Dammam ("similar to Dammam") without separate figures.

This Market Analysis is ready to feed into the Market Intelligence Brief and Reliability Check deliverables.

Sources:

[1] Saudi Arabia Residential Rental Market Analysis 2025-2026: City Comparison for Investment Priority.pdf <https://us-west-2.quicksight.aws.amazon.com/sn/account/UdacityQuicksightLab/spaces/3664cf27-bb2f-433f-b632-ddc4a85d24ee?documentId=a5ac95dc-db82-4075-916d-92d093108d00> File uploaded in Space

[2] Saudi Arabia Residential Rental Market Analysis 2025-2026: City Comparison for Investment Priority.pdf

[3] Saudi Arabia Real Estate.csv Dataset

[4] Saudi Arabia Real Estate.csv Dataset

[5] Saudi Arabia Real Estate.csv Dataset

[6] Saudi Arabia Real Estate.csv Dataset

[7] Saudi Arabia Real Estate.csv Dataset

[8] Saudi Arabia Real Estate.csv Dataset

[9] Saudi Arabia Real Estate.csv Dataset

[10] Saudi Arabia Real Estate.csv Dataset

[11] Saudi Arabia Real Estate.csv Dataset

[12] Saudi Arabia Real Estate.csv Dataset